A FIELD GUIDE TO EIGHT PRODUCTS

Know Your Products

Eight products, grouped by the job they do for your money. Each gets two facing pages: the left explains how it works, and the right helps you decide if it suits you. Write your own numbers in the spaces, so everything stays in one place all year.

PROTECT | BUILD | SPECIALISE | GLOBALISE

PROTECT	01	**Term Insurance**	3
	02	**Health Insurance**	5
BUILD	03	**Mutual Funds**	7
	04	**SIF** Specialised investment funds, plus two pages in depth	9
	05	**NCDs** Non-convertible debentures	13
SPECIALISE	06	**PMS** Portfolio management services	15
	07	**AIF** Alternative investment funds, plus two pages on private markets	17
GLOBALISE	08	**GIFT City** International investing	21
ALSO INSIDE		Where to start	2
		Side by side: all eight compared	23
		Words to know	25
		Your 2027 money check-up	26
		How we help you, and important information	27

Facts are as of October 2026. Rules change, so check the latest with us before you invest. This section is investor education. It is not advice, and not an offer to buy or sell any product.

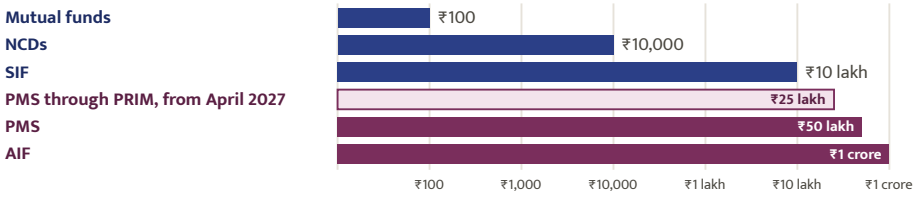
Where to start

Begin with what you want your money to do. Each line points to the product, and the page that explains it.

IF YOU WANT TO	LOOK AT	PAGE
Keep your family's plans on track if something happens to you	01 Term insurance	3
Pay hospital bills without dipping into your savings	02 Health insurance	5
Grow wealth for long-term goals, a little every month	03 Mutual funds	7
Hold one fund with tools for rising, falling and sideways markets	04 SIF	9
Earn interest at a fixed rate for a set period	05 NCDs	13
Own a focused portfolio, held in your own name	06 PMS	15
Invest in private companies before they list, or lend to them	07 AIF	17
Invest abroad, in US dollars	08 GIFT City	21

MINIMUM TO START, ON ONE SCALE

Careful: each step is 10 times the last



PRIM is a new kind of PMS, starting on 1 April 2027, that invests only in mutual funds. Insurance has no minimum, only a premium, and GIFT City minimums are in US dollars, so neither is on the scale above.

01 Term Insurance

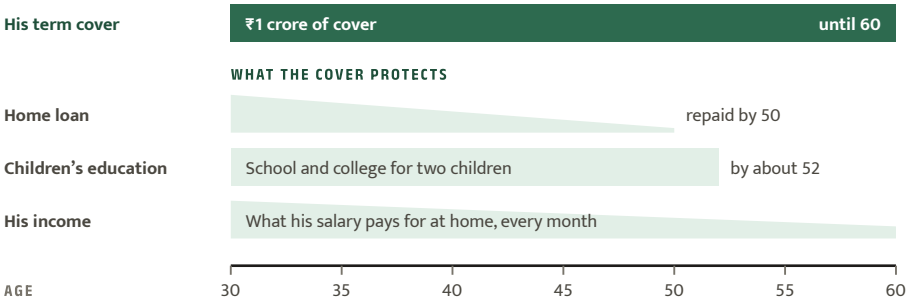
PURE LIFE COVER FOR YOUR FAMILY · REGULATED BY IRDAI

Term insurance keeps your family's plans on track if you are not there to provide for them. You pay a premium, yearly or monthly. If something happens to you during the policy term, your family receives the full cover amount (the sum assured).

HOW IT PROTECTS A FAMILY

FIG. 01

Example. Rohan, 30, with young children and a home loan, takes ₹1 crore of cover.



The home loan and the years of income to replace shrink with time. The cover lasts while the family relies on his income.

IF SOMETHING HAPPENS TO ROHAN

₹1 crore

goes to his family to clear the home loan, keep the children's education on track and replace his income.

WHEN ROHAN TURNS 60

Cover complete

The cover ends. The loan is repaid, the children are independent, and paying only for protection kept the premium low.

HOW TO RECOGNISE IT

- It replaces your income for your family, so loans, school fees and monthly expenses stay covered.
- The premium is fixed when you buy, and usually stays the same for the whole term.
- Your family can receive the money in one go, as a monthly income, or both. You choose when you buy.

OFTEN CONFUSED WITH

Endowment and money-back plans. They combine savings with cover. Already have one? Talk to us before you stop it.

Health insurance. Pays hospital bills; term insurance does not (entry 02).

AT A GLANCE

The same six facts for every product

REGULATOR	IRDAI, the insurance regulator.
WHAT YOU PAY	A premium, paid yearly or monthly, fixed when you buy. It depends on your age, health, habits such as smoking, the cover amount and the term.
TIME COMMITMENT	The term you choose, usually until your earning years end (age 60 to 70). You have 30 days to return a new policy if it does not suit you (free look).
WHEN IT PAYS	To your family (your nominee) if something happens to you during the term. Subject to policy terms, the insurer must pay within 15 days of getting all papers, or 45 days if it needs to check the claim.
COSTS	Only the premium. No GST on individual policies since 22 September 2025.
TAX IN BRIEF	Old tax regime only: claim the premium under Section 123 (earlier 80C), within its ₹1.5 lakh yearly limit. The money your family receives is tax-free.

WORK OUT YOUR COVER

Rule of thumb: 10 to 15 times yearly income

A	Yearly household expenses	₹	D	+ Loans still to repay	₹
B	× Years your family needs support		E	+ Big goals: education, marriage	₹
C	= Income to replace (A × B)	₹	F	− Savings and existing cover	₹

Cover you need = C + D + E − F ₹

USE IT FOR

- ■ Replacing your income for your family
- ■ Clearing a home loan in your absence
- ■ Your children's education, whatever happens

HOW WE HELP

- ✓ Work out the cover your family needs
- ✓ Compare plans and claim records
- ✓ Stand by your family at claim time

ASK BEFORE YOU SIGN

Tick when answered

- ☐ Is the cover enough for my family's plans, including my loans?
- ☐ Who is my nominee, and does my family know about this policy?
- ☐ Have I shared every health detail, habit and existing policy?
- ☐ How many claims does the insurer settle, and how quickly?

MY NOTES

Write your own numbers here

INSURER ..... COVER ₹ .....

PREMIUM DUE ..... NOMINEE .....

For more details on risk factors, terms and conditions please read sales brochure carefully before concluding a sale. Insurance is underwritten by the insurer, which pays all claims. Ram Investments: Insurance advisor Sujeetha Nishanth, IRDAI Advisor Code 9504277.

02 Health Insurance

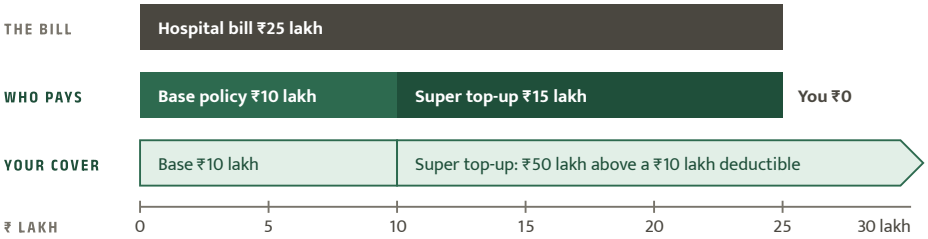
HOSPITAL COVER FOR YOUR FAMILY · REGULATED BY IRDAI

You pay a premium every year. If you need hospital treatment, the insurer pays the bills up to your sum insured. It pays the hospital directly (cashless) or pays you back, so you can focus on getting well, not on the bill.

HOW A BIG BILL GETS PAID

FIG. 02

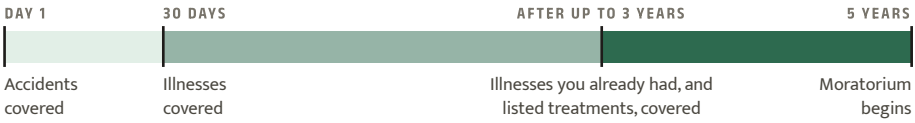
Example. A ₹25 lakh bill, with a ₹10 lakh policy and a super top-up.



A super top-up pays once the year's bills cross its deductible. What is paid always depends on the policy terms.

WHEN COVER STARTS, FROM THE DAY YOU BUY

NOT TO SCALE



Moratorium: after 5 years of continuous cover, a claim cannot be refused for a health detail left out, except in fraud. Before that it can be, so share every illness and habit when you buy.

HOW TO RECOGNISE IT

- It pays actual hospital bills up to the sum insured, for one person or for the whole family on one policy (floater).
- A claim-free year can raise your cover (no-claim bonus). Some policies refill cover you have used up during the year (restoration).
- You can move to another insurer and keep credit for the waiting time you have already served (portability).

OFTEN CONFUSED WITH

Critical illness cover. Pays a fixed lump sum when a listed illness is diagnosed, whatever the bill. Use it alongside health insurance.

Employer cover. Usually ends when you change jobs or retire.

AT A GLANCE

The same six facts for every product

REGULATOR	IRDAI, the insurance regulator.
WHAT YOU PAY	A yearly premium, based on age, sum insured, city and health history. Since April 2024, there is no upper age limit to apply.
TIME COMMITMENT	One year at a time. Renew without a break to keep your waiting-period credit and bonus.
WHEN IT PAYS	Cashless at the insurer's network hospitals (it must answer within 1 hour, and approve discharge within 3 hours), or you pay and claim it back.
COSTS	Only the premium. No GST on individual policies since 22 September 2025.
TAX IN BRIEF	Old tax regime only, Section 126 (earlier 80D): up to ₹25,000 a year for your family (₹50,000 with a senior citizen), and the same again for parents.

READ THE FINE PRINT

Compare before you buy

TERM	LOOK FOR	WATCH OUT FOR
Room rent	No cap, or any single private room	A daily limit. Pick a costlier room and other charges can be cut too.
Co-payment	None	You pay a fixed share of every claim
Sub-limits	None	Limits on treatments such as cataract or knee surgery
Restoration	Cover refills if used up in a year	No refill
Waiting periods	Short, or reducible with an add-on	The full 3 years for conditions you already have

USE IT FOR

- ■ Hospital bills, without touching savings
- ■ Cover for parents and elders
- ■ Topping up your employer's cover

HOW WE HELP

- ✓ Compare room rent, co-pays and waits
- ✓ Help with cashless approval and claims
- ✓ Renewal reminders, so cover never lapses

ASK BEFORE YOU SIGN

Tick when answered

- ☐ Is there a limit on room rent, or a co-payment?
- ☐ Which hospitals near me offer cashless treatment?
- ☐ Which of my conditions have a waiting period, and how long is it?
- ☐ Is the sum insured enough for hospital costs in my city?

MY NOTES

Write your own numbers here

INSURER ..... SUM INSURED ₹ .....

RENEWAL DATE ..... CLAIMS HELPLINE .....

For more details on risk factors, terms and conditions please read sales brochure carefully before concluding a sale. Insurance is underwritten by the insurer, which pays all claims. Ram Investments: Insurance advisor Sujeetha Nishanth, IRDAI Advisor Code 9504277.

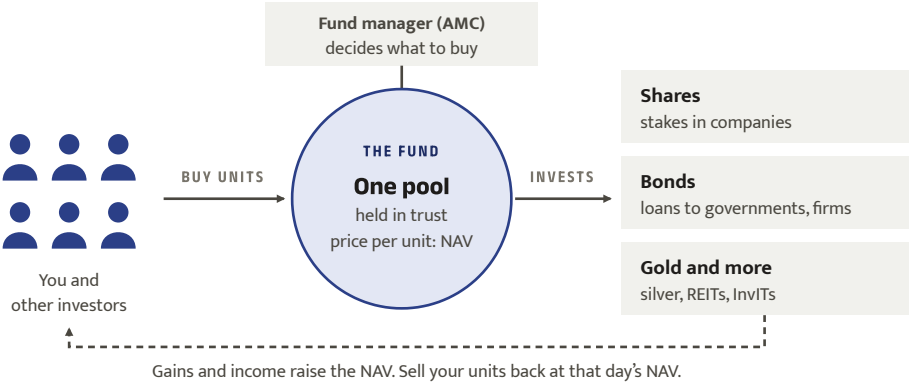
03 Mutual Funds

POOLED, PROFESSIONALLY MANAGED · REGULATED BY SEBI

Many investors put their money into one pool. A professional fund manager invests it in shares, bonds, gold or other assets, as the scheme's rules allow. You own units of the pool. The price of one unit (the NAV) is published every business day.

HOW IT WORKS

FIG. 03



SAFEGUARDS SEBI regulates · trustees oversee the AMC · a custodian holds the assets

FIVE GROUPS OF SCHEMES (SEBI, 2026)

Equity	Debt	Hybrid	Life Cycle	Other
Mainly shares. Long-term growth.	Bonds and money market.	A mix of equity, debt and more.	Moves to debt as a goal nears. NEW IN 2026	Index funds, ETFs, fund of funds.

HOW TO RECOGNISE IT

- You own units of a pool, not the shares or bonds themselves.
- Every scheme has a Direct and a Regular plan. A Regular plan, bought through a distributor like us, includes our commission for our service.
- Each scheme must stick to its label. For example, a large-cap fund keeps at least 80% in large companies.

OFTEN CONFUSED WITH

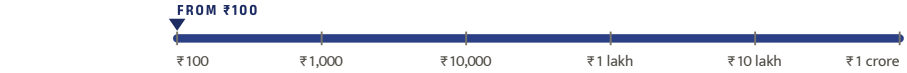
SIF. Same fund houses and tax rules, with tools for rising, falling and sideways markets. Entry 04, next.

ULIP. An insurance policy with an investment part, regulated by IRDAI. It is not a mutual fund.

AT A GLANCE

The same six facts for every product

REGULATOR	SEBI. AMFI is the industry body.
MINIMUM	Set by each scheme. A monthly SIP can often start from ₹100.
TIME COMMITMENT	None for most open-ended funds. Tax-saving ELSS funds lock in for 3 years. Equity funds suit goals at least 5 years away.
MONEY OUT	Sell units any business day. An exit load (a small charge) may apply if you sell within a set period.
COSTS	The expense ratio, taken from the NAV daily. SEBI caps its base part (the base expense ratio).
TAX IN BRIEF	Equity funds: 20% STCG if you redeem or switch within 12 months; 12.5% LTCG after that, with ₹1.25 lakh of gains a year tax-free. Debt funds: your slab rate, however long you hold (units bought before 1 April 2023: 12.5% after 24 months). Gold and overseas funds: slab rate within 24 months, then 12.5% (12 months for ETFs).



RISK CHECK: THE RISKOMETER

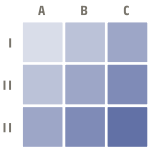
Printed on every scheme



RISKOMETER

1 Low such as overnight funds
2 Low to Moderate such as liquid funds
3 Moderate
4 Moderately High
5 High
6 Very High most equity funds

DEBT FUNDS: RISK CLASS GRID



A-I is the lowest risk, C-III the highest

USE IT FOR

- Goals 5+ years away: education, retirement
- Building wealth with a monthly SIP
- Short-term money, in liquid funds

HOW WE HELP

- ✓ Match funds to each goal and your risk
- ✓ Set up and track your SIPs
- ✓ Review your funds with you every year

ASK BEFORE YOU SIGN

Tick when answered

- ☐ Is the riskometer level right for me?
- ☐ How does this fund fit with what I own?
- ☐ What are the expense ratio and exit load?
- ☐ Direct or Regular: what do I pay, and get?

MY NOTES

Write your own numbers here

SIPS RUNNING ..... MONTHLY TOTAL ₹ .....

GOAL AND YEAR ..... REVIEW MONTH .....

Mutual Fund investments are subject to market risks, read all scheme related documents carefully. Ram Investments: AMFI Registered Mutual Fund Distributors L. Ashok (ARN-14532) and Nishanth Ashok (ARN-328299).

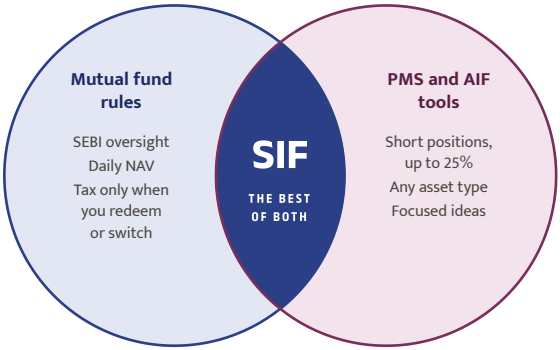
04 SIF

SPECIALISED INVESTMENT FUNDS · REGULATED BY SEBI

A SIF is run by a mutual fund house under SEBI's mutual fund rules, and is taxed like a mutual fund. Its manager has more tools: it can gain when prices fall, move between asset types, and turn market exposure up or down.

MUTUAL FUND RULES, WITH PMS AND AIF TOOLS

FIG. 04



₹10 lakh
minimum, per fund house

25%
most of the fund in short positions

100%
most total exposure: no borrowing

7
strategies, cautious to adventurous

WHAT THE MANAGER CAN DO

WHEN MARKETS RISE



Invest up to 100%, in the shares expected to lead

WHEN MARKETS GO SIDEWAYS



Earn price gaps (arbitrage) and income from options

WHEN MARKETS FALL



Hedge, cut exposure, and gain from falls, up to 25%

HOW TO RECOGNISE IT

- Has tools for rising, falling and sideways markets: the manager can raise or cut exposure, and take short positions with up to 25% of the fund.
- Taxed like a mutual fund: nothing is taxed inside the fund. In the growth option, you pay tax only when you redeem or switch.
- Can be cautious or adventurous. Each strategy's Risk Band, from Level 1 (lowest risk) to Level 5 (highest), tells you which.

OFTEN CONFUSED WITH

Mutual funds. Same fund houses, tax rules and safeguards. A SIF adds tools for falling and sideways markets, and starts at ₹10 lakh.

Category III AIFs and PMS. Similar tools (fewer in a PMS), but taxed every year. In a SIF, tax waits until you redeem or switch.

AT A GLANCE

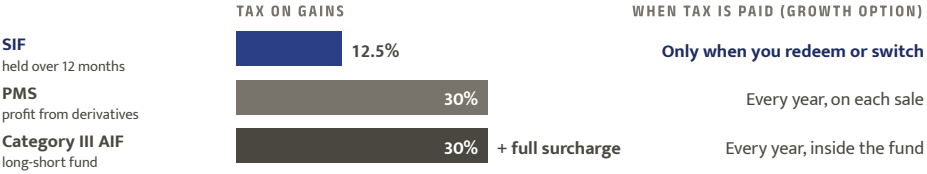
The same six facts for every product

REGULATOR	SEBI, under the mutual fund rules, through eligible fund houses.
MINIMUM	₹10 lakh in total per fund house, split across its strategies as you like.
TIME COMMITMENT	No lock-in for most. A few have set redemption dates or a fixed term.
MONEY OUT	Equity: usually any business day. Hybrid: set days, at least twice a week; payment can take up to 15 working days.
COSTS	An expense ratio, taken from the NAV, as in a mutual fund.
TAX IN BRIEF	Same as mutual funds, by what it holds. Equity-oriented: 20% STCG if you redeem or switch within 12 months, 12.5% LTCG after. Mostly bonds: slab rate. Others: like similar funds.



TAX CHECK: A LONG-SHORT STRATEGY, THREE PRODUCTS

Top tax slab, base rates



Base rates, top tax slab, 2026–27; yours may be lower. Plus 4% cess for all, and above ₹50 lakh income a surcharge: at most 15% on SIF gains, always in full for a Category III AIF. PMS share sales held 12+ months: also 12.5%.

USE IT FOR

- A whole portfolio in one fund, or part of it
- Rising, falling and sideways markets alike
- Long-short strategies with mutual fund tax

HOW WE HELP

- ✓ Explain each strategy and its Risk Band
- ✓ Fit the SIF to the portfolio you have
- ✓ Track redemption days and tax on exits

ASK BEFORE YOU SIGN

Tick when answered

- ☐ What is this strategy's Risk Band today?
- ☐ How does the manager change exposure as markets move?
- ☐ Is it equity-oriented, and when can I redeem?
- ☐ What are the total costs?

MY NOTES

Write your own numbers here

SIF / STRATEGY ..... AMOUNT ₹ .....

RISK BAND ..... REDEMPTION DAYS .....

Investments in Specialized Investment Fund involves relatively higher risk including potential loss of capital, liquidity risk and market volatility. Please read all investment strategy related documents carefully before making the investment decision.
Ram Investments: SIF Distributor (SIFD) Nishanth Ashok, ARN-328299.

SIF IN DEPTH

What a SIF manager can do

Fund houses explain SIFs with simple examples like these. Each shows one tool a SIF can use that an equity mutual fund cannot, or can use only in part.

MARKETS FALL

Protect the portfolio

1. **What happens**
   A sudden shock threatens to pull the whole market down.
2. **What the manager does**
   Sells index futures against part of the fund. This is a hedge.
3. **What can follow**
   If the market falls, the hedge gains and offsets part of the loss. If it does not, the hedge costs a little.

ONE WEAK COMPANY

Gain from its fall

1. **What happens**
   A company looks overpriced, and its business is weakening.
2. **What the manager does**
   Takes a short position in its futures, for a small part of the fund.
3. **What can follow**
   If the price falls, the fund gains. If it rises, that position loses. An equity mutual fund cannot do this.

MARKETS GO SIDEWAYS

Earn a price gap

1. **What happens**
   A share and its one-month future trade at slightly different prices.
2. **What the manager does**
   Buys the share and sells the future together. This is arbitrage.
3. **What can follow**
   At expiry the two prices meet, so the gap is earned whether the share rises, stays or falls, less costs.

Hypothetical examples, to show how the tools work. Real strategies differ, and the manager's calls can be wrong.

TOOLS COMPARED — Mutual fund, SIF, PMS and Category III AIF

WHAT THE MANAGER CAN DO	MUTUAL FUND	SIF	PMS	CATEGORY III AIF
Buy shares and bonds	● Yes	● **Yes**	● Yes	● Yes
Short positions	○ No	● **Up to 25%**	◐ Limited	● Yes
Move across shares, bonds, gold, silver, REITs	◐ Within its category	● **Yes**	◐ Partly	● Yes
Borrow to invest (leverage)	○ No	○ **No**	○ No	● Up to 2× NAV
Price (NAV) published daily	● Yes	● **Yes**	● Own account	◐ Periodic
A portfolio just for you	○ No	○ **No**	● Yes	○ No
Tax only when you redeem or switch*	● Yes	● **Yes**	○ Taxed per trade	○ Taxed in fund
Minimum	₹100	**₹10 lakh**	₹50 lakh	₹1 crore

A SIF cannot borrow to invest: its total exposure stays within 100% of the fund. *In the growth option.

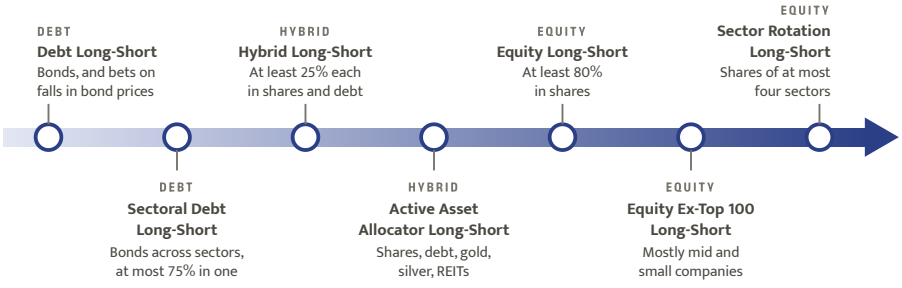
A new, fast-growing category: by September 2026, 17 fund houses offered SIFs, with ₹38,287 crore invested and over 1.5 lakh investor accounts (AMFI data, as reported).

SIF IN DEPTH

Using a SIF in your portfolio

SEVEN STRATEGIES, FROM CAUTIOUS TO ADVENTUROUS

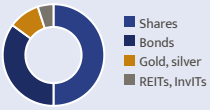
Where each one usually sits



The usual order only. What counts is each strategy's Risk Band, from Level 1 (lowest) to 5 (highest).

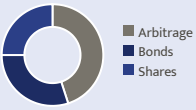
THREE WAYS TO USE A SIF

Mixes shown are examples



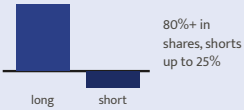
As your whole portfolio

No mutual funds yet, or want one simple fund? An asset allocator strategy moves money across shares, bonds, gold and REITs.



As the steady part

Hybrid strategies hold much of the money in arbitrage and bonds, with a smaller part in shares, aiming for a steadier ride.

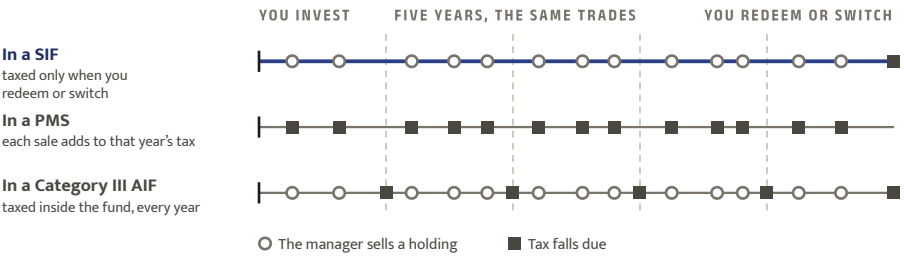


As the equity part

Equity long-short strategies can sit beside your equity funds. They can hedge, or cut exposure, when markets fall.

WHEN THE TAX IS PAID

Same trades, three products



In the growth option, nothing is taxed along the way; a switch counts as a redemption. Rates are on page 10.

Investments in Specialized Investment Fund involves relatively higher risk including potential loss of capital, liquidity risk and market volatility. Please read all investment strategy related documents carefully before making the investment decision.
Illustrations do not show or promise returns. Ram Investments: SIF Distributor (SIFD) Nishanth Ashok, ARN-328299.

05 NCDs

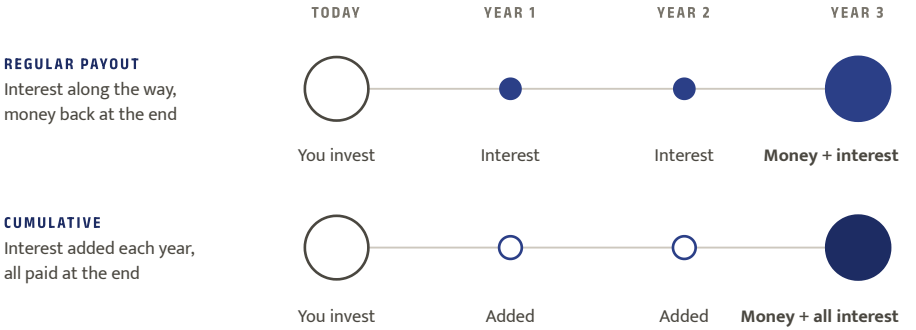
NON-CONVERTIBLE DEBENTURES · REGULATED BY SEBI

An NCD is a loan you give a company for a fixed period. The company pays you interest at a fixed rate and returns your money at the end (maturity). It can never be turned into shares, so it is called “non-convertible”.

WHERE YOUR MONEY GOES, AND WHEN IT COMES BACK

FIG. 05

How you are paid. The rate is fixed when you invest and stays the same to maturity.



A regular payout gives you income along the way. Cumulative pays it all at maturity.

IF A COMPANY CANNOT REPAY, WHO IS PAID FIRST?

1 Secured lenders including secured NCDs → **2 Unsecured lenders** including unsecured NCDs → **3 Shareholders** paid last, if anything is left

Simplified. What you recover depends on the assets and the legal process.

HOW TO RECOGNISE IT

- Fixed interest, paid monthly, yearly, or all together at maturity (cumulative).
- Rated by a credit rating agency such as CRISIL, ICRA, CARE or India Ratings.
- Secured NCDs are backed by the company’s assets. Unsecured NCDs are not, and are repaid after secured ones if the company fails.

OFTEN CONFUSED WITH

Bank fixed deposits. Bank deposits are insured up to ₹5 lakh per depositor per bank by DICGC. NCDs are not insured; repayment depends on the company.

AT A GLANCE

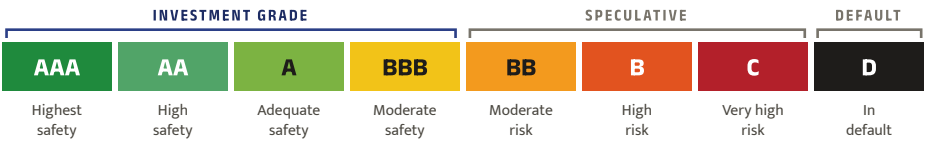
The same six facts for every product

REGULATOR	SEBI, for the issue and listing. If the company is an NBFC (a finance company that is not a bank), RBI regulates it too.
MINIMUM	Usually ₹10,000 when a company offers NCDs to the public (a public issue).
TIME COMMITMENT	The period of the option (series) you pick, usually 18 months to 10 years.
MONEY OUT	Interest as you chose, and your money back at maturity. You can sell earlier on the stock exchange, but the price may be lower and buyers may be few.
COSTS	No fee to apply in a public issue. You need a demat account, and brokerage applies if you sell.
TAX IN BRIEF	Interest is taxed at your slab rate. If you sell a listed NCD after 12 months, 12.5% on the gain; within 12 months, your slab rate.



RISK CHECK: THE CREDIT RATING

Check it before the interest rate



A + or – fine-tunes a grade: AA+ is stronger than AA–. CRISIL, ICRA, CARE and India Ratings all use scales like this.

USE IT FOR

- A regular income, monthly or yearly
- Money you can set aside for a fixed period
- Fixed-rate income alongside your funds

HOW WE HELP

- ✓ Check the rating, security and company
- ✓ Pick the series that suits your income
- ✓ Track interest dates and maturity

ASK BEFORE YOU SIGN

Tick when answered

- ☐ What is the rating, from which agency, and is it expected to hold (outlook)?
- ☐ Which series: how long, how often interest is paid, and the yearly rate after compounding?
- ☐ Is it secured, and what is the asset cover?
- ☐ What if I need my money before maturity?

MY NOTES

Write your own numbers here

ISSUER / SERIES .....

RATE % AND PAYOUT .....

AMOUNT ₹ .....

MATURES ON .....

Investments in debt securities/municipal debt securities/securitised debt instruments are subject to risks including delay and/or default in payment. Read all the offer related documents carefully. Ratings are opinions, not guarantees.

06 PMS

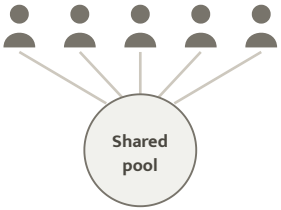
PORTFOLIO MANAGEMENT SERVICES · REGULATED BY SEBI

A SEBI-registered portfolio manager runs a portfolio of shares or bonds just for you. Unlike a mutual fund, the securities sit in your own demat account, so you can see every holding and every trade.

WHO OWNS WHAT, AND WHO DECIDES

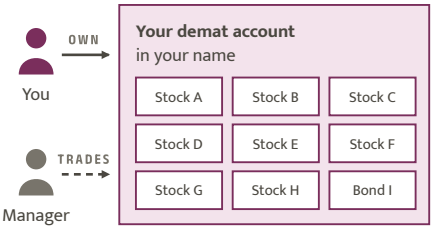
FIG. 06

MUTUAL FUND



You own **units** of a shared pool.

PMS



You own **the shares themselves.**

THREE WAYS TO WORK WITH A MANAGER

MANAGER DECIDES — YOU DECIDE

Discretionary
The manager decides and trades for you. The most common type.

Non-discretionary
The manager suggests; you approve each trade, and it carries it out.

Advisory
The manager advises; you decide and place each trade yourself.

HOW TO RECOGNISE IT

- The shares are bought in your name and held in your own demat account.
- Every PMS reports its returns against a set benchmark for its type of strategy, so managers can be compared.
- No upfront fees are allowed. Fees are fixed, linked to profits above a set level (the hurdle), or both.

OFTEN CONFUSED WITH

Mutual funds. A shared pool. You own units, not the shares.

AIFs. A pooled fund with a ₹1 crore minimum. It can hold unlisted companies and may lock in your money for years.

AT A GLANCE

The same six facts for every product

REGULATOR	SEBI. New rules, the Portfolio Managers Regulations, 2026, apply from 1 April 2027.
MINIMUM	₹50 lakh. From 1 April 2027, ₹25 lakh for PRIM, a new kind of PMS that invests only in mutual funds.
TIME COMMITMENT	No lock-in. An exit charge may apply in the first three years.
MONEY OUT	Withdraw part or all. You get cash, or the shares themselves.
COSTS	A management fee, a performance fee, or both, plus brokerage, custody charges and GST.
TAX IN BRIEF	Every sale is taxed in your hands, as if you had made it yourself.



RISK CHECK: CONCENTRATION

Fewer stocks, more weight on each

EQUITY MUTUAL FUND · 40–80 STOCKS



PMS · OFTEN 15–30 STOCKS



With 20 equal holdings, each stock is 5% of your money; with 60, each is under 2%.

USE IT FOR

- A focused portfolio built for you
- Shares held in your own name
- Seeing every holding and trade, any time

HOW WE HELP

- ✓ Compare managers and their full fees
- ✓ Move your existing shares in, where allowed
- ✓ Review statements against the benchmark

ASK BEFORE YOU SIGN

Tick when answered

- ☐ How has the strategy done against its benchmark, through good years and bad?
- ☐ Who decides each trade: the manager, or me?
- ☐ What are all the fees: fixed, performance, hurdle, high-water mark, exit?
- ☐ How many stocks will I hold, and how big will each be?

MY NOTES

Write your own numbers here

MANAGER / STRATEGY

AMOUNT ₹

FEE MODEL

BENCHMARK

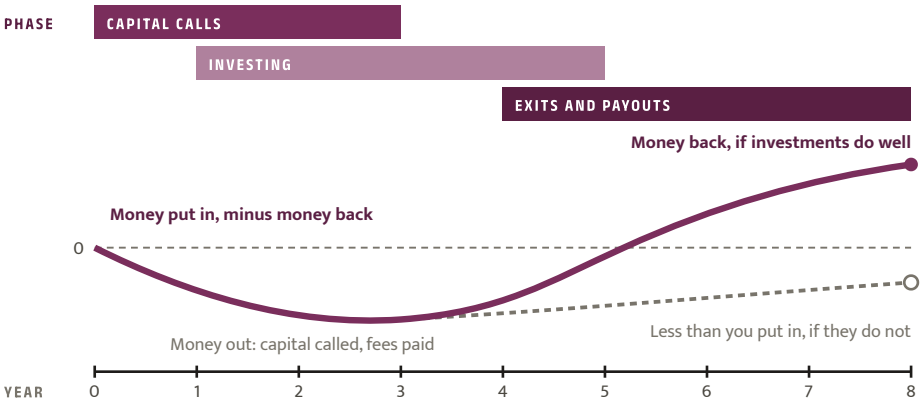
Investments in securities are subject to market risks. Read the disclosure document carefully before investing. Past performance does not guarantee future returns. Ram Investments: APMI Registered PMS Distributor Nishanth Ashok, APRN-07532.

07 AIF

ALTERNATIVE INVESTMENT FUNDS · REGULATED BY SEBI

An AIF is a private fund that pools money from a small group of investors. It can invest where most investors cannot: in companies before they list, loans to private companies, commercial real estate and start-ups. Some AIFs also run specialist strategies in listed shares.

THE LIFE OF A FUND WITH A FIXED TERM — FIG. 07



Illustrative. Being below zero in the early years is normal. Timelines and outcomes differ by fund.

CATEGORY I
Start-ups, SMEs, infrastructure and social impact

CATEGORY II
Private equity, private credit, commercial real estate. No borrowing.

CATEGORY III
Hedge-fund-style strategies in listed shares; may borrow to invest.

HOW TO RECOGNISE IT

- Many AIFs give you a share of companies while they are still private, often years before they list.
- You promise (commit) an amount. The manager asks for it in parts (capital calls) as deals are found.
- Offered only privately (private placement), to at most 1,000 investors in each scheme.

OFTEN CONFUSED WITH

PMS. Your own account, mostly listed shares, and no lock-in. An AIF pools money and may hold assets that take time to sell.

AT A GLANCE

The same six facts for every product

REGULATOR	SEBI, under the AIF Regulations, 2012.
MINIMUM	₹1 crore commitment, paid in parts as the fund invests.
TIME COMMITMENT	Category I and II: a fixed term, often 4 to 10 years. Category III: open-ended, or a fixed term.
MONEY OUT	As the fund sells its investments, mostly in its later years. Plan to stay for the full term.
COSTS	A management fee, plus carried interest: the manager's share of profits above the hurdle.
TAX IN BRIEF	Category I and II: income is mostly taxed in your hands (pass-through). Category III: the fund pays the tax before paying you.



COST CHECK: HOW PROFITS ARE SHARED

The order in which money is paid out

1 Capital back

All the money you put in comes back to you first.

2 Hurdle

Next, a minimum profit set in the fund's terms (the hurdle), if earned.

3 Catch-up

In some funds, the manager then takes extra profit until it has its share.

4 The rest is split

often 80% to you, 20% to the manager.

USE IT FOR

- Private companies, before they list
- Private credit and commercial real estate
- Money that can stay invested 4 to 10 years

HOW WE HELP

- ✓ Explain the fund, its term and its fees
- ✓ Remind you before each capital call
- ✓ Track investments and payouts for you

ASK BEFORE YOU SIGN

Tick when answered

- ☐ What does the fund invest in, and how did the manager's earlier funds do?
- ☐ What are the fees, the hurdle and the carried interest?
- ☐ How much will the fund ask for, how often, and what if I pay late?
- ☐ How long is the fund's term, and can it be extended?

MY NOTES

Write your own numbers here

FUND / CATEGORY .....

COMMITMENT ₹ .....

CALLED SO FAR ₹ .....

FUND ENDS .....

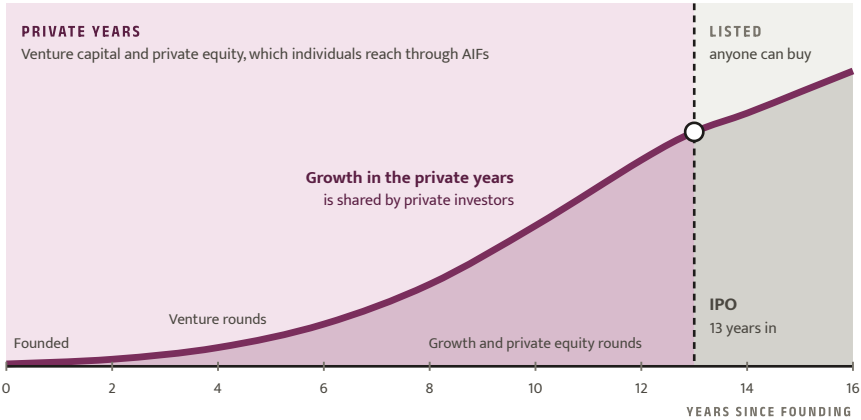
AIFs are offered only by private placement to eligible investors, through the fund's private placement memorandum. This page is investor education. It is not an offer or a solicitation.

PRIVATE MARKETS

Where the early growth happens

Many Indian companies now stay private for ten years or more before they list on a stock exchange. Some of a company's growth happens in those private years, before most investors can buy its shares. AIFs let eligible investors take part earlier, with more risk and a longer wait.

THE LIFE OF A COMPANY, BEFORE AND AFTER IT LISTS — Illustration



Illustrative path. Many companies never list, and some list below their last private value.

13.3 years

from founding to listing, on average, for Indian tech companies that listed in 2025.

Orios Venture Partners

USD 36 billion

(about ₹3 lakh crore) invested by private equity and venture capital funds in Indian companies in 2025, across about 1,700 deals.

Bain & Company and IVCA

87%

of US companies with over USD 100 million in yearly revenue are private, not listed. Private companies are a large part of any economy.

S&P Capital IQ data, via Apollo Global Management

WHAT THIS MEANS FOR YOU

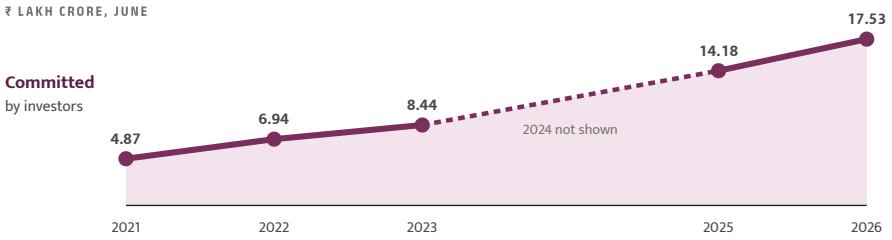
At an IPO, early investors often sell part of their stake to the public. To own a share of a company while it is still private, you need to invest before it lists, through an AIF. This means waiting several years. Some companies never list, and some list below their private value.

PRIVATE MARKETS

Taking part in private markets

MONEY COMMITTED TO AIFS

SEBI data, as reported



WHICH AIFS INVEST WHEN

Before a company lists



A fund can also sell a stake to another buyer, not only at an IPO.

CHOOSE THE MANAGER WITH CARE

Managers differ

Results differ much more between private-market funds than between funds of listed shares. Ask how long the team has worked together, how its earlier funds did, and how it handled hard years.

PRIVATE CREDIT

Lends to established private companies, often against security, and may pay interest along the way. A next step for NCD investors.

COMMERCIAL REAL ESTATE

Builds or buys offices, warehouses and shops, earning rent, and later a sale price.

BEFORE YOU CONSIDER AN AIF

Tick what is true

- ☐ ₹1 crore or more that can stay invested for the fund's full term, often 4 to 10 years
- ☐ Protection and a core portfolio already in place
- ☐ Comfortable with no daily price, knowing some investments may not work out
- ☐ Able to pay when the fund asks for money (capital calls), for several years

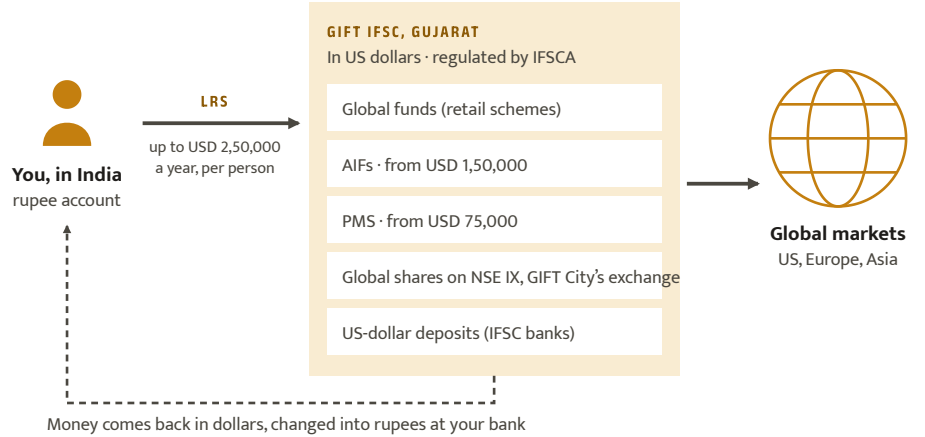
AIFs are offered only by private placement to eligible investors, through the fund's private placement memorandum. This page is investor education. It is not an offer or a solicitation.

08 GIFT City

INTERNATIONAL INVESTING VIA GIFT IFSC · REGULATED BY IFSCA

GIFT City in Gujarat is home to India's International Financial Services Centre (IFSC). Resident Indians can invest there in US dollars, within their yearly LRS limit, through firms regulated by IFSCA.

THE ROUTE FROM YOUR BANK ACCOUNT TO THE WORLD — FIG. 08



YOUR LRS LIMIT IS SHARED — USD 2,50,000 PER FINANCIAL YEAR



Example split. Each family member has a separate limit.

HOW TO RECOGNISE IT

- You invest in US dollars. What you get back depends on the markets and on the rupee–dollar rate.
- It uses your Liberalised Remittance Scheme (LRS) limit of USD 2,50,000 (over ₹2 crore) per person per financial year. Travel, studies and gifts abroad share it.
- Your bank collects 20% TCS on money sent abroad to invest above ₹10 lakh a year. You can adjust it against your tax or claim a refund.

OFTEN CONFUSED WITH

International funds in rupees. Sold in India in rupees, but they can stop taking new money when the industry's overseas limit is reached.

Foreign broker accounts. Your money is held overseas, under that country's regulator.

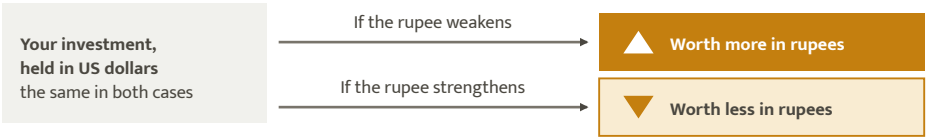
AT A GLANCE

The same six facts for every product

REGULATOR	IFSCA, the regulator for GIFT City. Money sent there follows RBI's Liberalised Remittance Scheme (LRS).
MINIMUM	Depends on the product. Funds open to all set their own. PMS from USD 75,000. AIFs from USD 1,50,000 (accredited investors can invest less).
TIME COMMITMENT	Open-ended funds: no fixed term. AIFs: a fixed term.
MONEY OUT	Paid in US dollars. It is changed into rupees when it reaches your Indian bank account.
COSTS	Fund or service fees, plus currency conversion and bank charges for sending money.
TAX IN BRIEF	Gains are taxable in India for residents. TCS is not an extra tax: it is adjusted against the tax you owe.

RISK CHECK: THE CURRENCY EFFECT

Illustration only



The rupee weakens when one dollar costs more rupees. Only the exchange rate differs, and it can move either way.

USE IT FOR

- Investing abroad, in US dollars
- Goals in dollars, such as studies abroad
- Spreading wealth beyond India

HOW WE HELP

- ✓ Explain products, costs and currency risk
- ✓ Track the LRS limit across your family
- ✓ Help you get your TCS back at filing

ASK BEFORE YOU SIGN

Tick when answered

- ☐ What exactly does this product invest in, and where?
- ☐ How much of my LRS limit have I used this financial year?
- ☐ What is the minimum, and what are all the costs, including currency conversion?
- ☐ How will my gains be taxed, and when do I get my TCS back?

MY NOTES

Write your own numbers here

PRODUCT ..... AMOUNT USD .....

LRS USED THIS FY ..... TCS PAID ₹ .....

Investments in GIFT IFSC are subject to market and currency risks, and to RBI's LRS and FEMA rules. Read all scheme related documents carefully.

ALL EIGHT, SIDE BY SIDE

Protect and build

Each row runs across both pages. The full details are in each entry.

	01 **Term insurance** page 3	02 **Health insurance** page 5	03 **Mutual funds** page 7	04 **SIF** page 9
IN A LINE	Pays your family a lump sum if something happens to you.	Pays hospital bills up to your sum insured.	A shared pool of money run by a professional manager.	Mutual fund rules, with tools for rising, falling and sideways markets.
REGULATOR	IRDAI	IRDAI	SEBI	SEBI, under mutual fund rules
MINIMUM	A yearly premium, set by age, health and cover	A yearly premium, set by age, cover and city	Monthly **SIPs from ₹100**	**₹10 lakh** per investor, per fund house
TIME COMMITMENT	The policy term, often to age 60 to 70	One year at a time; renew without a break	None for most funds; ELSS 3 years	No lock-in for most strategies
MONEY OUT	Paid to your family (nominee) on a claim	Cashless at the hospital, or reimbursed	Any business day, at that day's NAV	Equity: usually any business day. Hybrid: at least twice a week
MAIN RISK TO WATCH	Too little cover; health details left out	Room rent limits, co-payments, waiting periods	Market falls. Check the riskometer	The strategy chosen. Check the Risk Band
TAX IN BRIEF	Payout tax-free. Old tax regime: premium can be claimed	Old tax regime: premium can be claimed	Equity: 20% within 12 months, 12.5% after. Debt: slab rate	Like mutual funds, by what it holds; paid when you redeem or switch
BEST FOR	Anyone whose family depends on their income	Every family, alongside any employer cover	Most investors, as the core of a portfolio	A whole portfolio or part of one, from ₹10 lakh

ALL EIGHT, SIDE BY SIDE

Build, specialise and globalise

Minimums are the usual amounts for most investors. Accredited investors may invest less; providers may ask for more.

	05 **NCDs** page 13	06 **PMS** page 15	07 **AIF** page 17	08 **GIFT City** page 21
IN A LINE	A fixed-rate loan to a company, for a fixed term.	A manager runs a portfolio in your own demat account.	A private pooled fund for unlisted companies and assets.	Global investing in US dollars, from India.
REGULATOR	SEBI; RBI for NBFC issuers	SEBI	SEBI	IFSCA; RBI's LRS
MINIMUM	**Usually ₹10,000** in a public issue	**₹50 lakh**; PRIM route ₹25 lakh from April 2027	**₹1 crore** commitment	Varies: PMS USD 75,000; AIFs USD 1,50,000
TIME COMMITMENT	Usually 18 months to 10 years	No lock-in; exit charges possible in the first three years	Often 4 to 10 years, fixed term	Depends on the product
MONEY OUT	At maturity, or sell on the exchange	Withdraw cash or securities	As investments are sold, through the later years	In US dollars, back to your Indian bank
MAIN RISK TO WATCH	The company not paying. Check the rating	Concentration and the manager's skill	Long holding period; the manager's skill	Currency swings and overseas markets
TAX IN BRIEF	Interest at your slab rate	Each sale taxed in your hands	Category I and II: mostly in your hands. Category III: in the fund	Taxable in India; TCS is adjustable
BEST FOR	Regular interest, for those who can hold to maturity	Equity investors wanting a focused portfolio	Large portfolios that can wait several years	Investors who want to invest worldwide, in dollars

NOT SURE WHICH FITS?

Bring this diary to your next review, and we will go through it with you.

Words to know

Terms used in this guide, in plain words.

Accredited investor. An investor certified as meeting set income or wealth tests. Some products then allow lower minimums.

AMC. Asset management company: the fund house that runs mutual funds and SIFs.

Arbitrage. Buying a share and selling its futures contract at the same time, to earn the small price gap.

Asset cover. How much the assets backing a secured NCD are worth, compared with what is owed.

Benchmark. A market index used to judge how well a manager has done.

Capital call. A request for part of the money you committed to an AIF. Also called a drawdown.

Carried interest. The AIF manager's share of profits above the hurdle.

Co-payment. The share of each health claim you pay yourself.

Credit rating. An agency's opinion of how likely a borrower is to pay on time, from AAA to D.

Deductible. The part of a year's bills that a top-up policy does not pay.

Demat account. An account that holds your shares, bonds and NCDs in electronic form.

Derivatives. Futures and options: contracts whose value moves with a share or an index.

Equity-oriented. A fund or strategy with 65% or more in Indian shares, taxed like an equity fund.

Exit load. A charge for selling mutual fund units within a set period.

Exposure. How much of a fund moves with the market. A SIF can take it below zero.

Hedge. A position that rises when your holdings fall, to cushion the loss.

High-water mark. A rule that a performance fee is paid only on gains above the portfolio's previous highest value.

Hurdle. The minimum profit investors must receive before the manager shares in profits.

IPO. Initial public offer: when a company first sells shares to the public and lists on a stock exchange.

KYC. Know your customer: the identity and address check every investor completes.

Long-short. Owning shares expected to rise, and betting against those expected to fall.

LRS. Liberalised Remittance Scheme: up to USD 2,50,000 abroad per person, per financial year.

LTCG and STCG. Long- and short-term capital gains tax on profit when you sell, redeem or switch. For equity, within 12 months is short-term.

Moratorium. After 5 years of continuous health cover, a claim cannot be refused for a health detail left out, except in fraud.

NAV. Net asset value: the price of one mutual fund unit, worked out every business day.

NBFC. Non-banking financial company: a finance company that is not a bank.

Nominee. The person you name to receive the money from a policy or investment in your absence.

Old tax regime. The older way of filing tax, with deductions such as for premiums. The new regime applies unless you choose the old one.

Pass-through. Income mostly taxed in your hands, not in the fund, as for AIF Category I and II.

Portfolio. All your investments together. Your core portfolio is the main, steady part your goals rely on.

PRIM. A new kind of PMS, from 1 April 2027, that invests only in mutual funds, from ₹25 lakh.

Private equity. Funds that buy stakes in growing private companies.

Private markets. Companies and assets not listed on a stock exchange.

Redeem, switch. Redeem: take your money out of a fund. Switch: move it to another fund or strategy.

REIT, InvIT. Listed trusts that own rental property (REIT) or roads, power lines and similar assets (InvIT).

Risk Band. The risk label for every SIF strategy, from Level 1 (lowest) to Level 5 (highest).

Riskometer. SEBI's six-level risk label shown on every mutual fund scheme.

Short position. A holding that gains when a share or index falls.

SIP. Systematic investment plan: a fixed amount invested at regular intervals.

Slab rate. Your income-tax rate, the same rate you pay on income from salary or business.

Sum assured, sum insured. What a life policy pays on a claim; the most a health policy pays in a year.

TCS. Tax collected at source: tax your bank collects when you send large amounts abroad. It is adjusted against your tax.

TER. Total expense ratio: a fund's yearly running costs, taken from the NAV. SEBI caps its base part.

Venture capital. Money for young, fast-growing private companies, years before they list.

Waiting period. The time after you buy health cover before some illnesses are covered.

Your 2027 money check-up

Fifteen minutes each quarter. Tick each line once it is done.

CHECK	JAN–MAR	APR–JUN	JUL–SEP	OCT–DEC
PROTECT				
Term cover still matches my family's needs	☐	☐	☐	☐
Health policy renewed; new family members added	☐	☐	☐	☐
Nominees up to date on every policy and investment	☐	☐	☐	☐
BUILD				
SIPs running as planned	☐	☐	☐	☐
Mutual fund and SIF mix checked against my plan	☐	☐	☐	☐
NCD interest received; maturities noted	☐	☐	☐	☐
SPECIALISE				
PMS and AIF statements checked against their benchmarks	☐	☐	☐	☐
Cash set aside for upcoming AIF capital calls	☐	☐	☐	☐
GLOBALISE				
LRS amount used this financial year noted	☐	☐	☐	☐
TCS credit claimed in my tax return	☐	☐	☐	☐
TALK TO US ABOUT				
FD maturities, a bonus or business surplus	☐	☐	☐	☐
Life changes: marriage, a birth, a new loan, a property sale	☐	☐	☐	☐
ONCE A YEAR				
Emergency fund covers about six months		☐		
KYC, address and bank details up to date		☐		
Will (who receives your assets) written or reviewed		☐		

OUR REVIEW MEETINGS Dates we agree together

Q1 ..... Q2 ..... Q3 ..... Q4 .....

YOUR CONTACT AT RAM INVESTMENTS ..... PHONE .....

Important information

ABOUT THIS GUIDE

Investor education only: not an offer, a recommendation, or investment, tax or legal advice. Facts are as of October 2026 and can change. Read a product's offer documents before investing. Sources: SEBI, AMFI, APMI, IRDAI, IFSCA, RBI, the Income-tax Act, 2025, and the reports named on each page. This guide does not show or project returns.

Ram Investments[x+]

AMFI Registered Mutual Fund Distributors · L. Ashok, ARN-14532 · Nishanth Ashok, ARN-328299

SIF Distributor (SIFD) · Nishanth Ashok, ARN-328299

APMI Registered PMS Distributor · Nishanth Ashok, APRN-07532

Insurance advisor · Sujeetha Nishanth, IRDAI Advisor Code 9504277

50, A & B New Agraharam, Palani Road, Dindigul – 624001

L. Ashok 98421 01574 · N. Alagar 99651 01999 · Nishanth Ashok 98421 01374 · Sujeetha Nishanth 95668 49617

support@raminvestments.in · www.raminvestments.in

HOW WE HELP YOU

- ✓ We stay with you when markets fall, so a bad month does not undo a long-term plan.
- ✓ We review everything you hold with us, once a year at least.
- ✓ We give you the papers your tax consultant needs.
- ✓ We match each product to a goal, and explain it before you sign.
- ✓ We handle the paperwork: KYC, nominees, SIPs, switches and redemptions.
- ✓ If something happens to you, we help your family with claims and transfers.

HOW WE ARE PAID

We receive commission from the providers of the products we distribute. It pays for this service, for as long as you invest with us.

STANDARD WARNINGS

Mutual Fund investments are subject to market risks, read all scheme related documents carefully.

Investments in Specialized Investment Fund involves relatively higher risk including potential loss of capital, liquidity risk and market volatility. Please read all investment strategy related documents carefully before making the investment decision.

Investments in debt securities/municipal debt securities/securitised debt instruments are subject to risks including delay and/or default in payment. Read all the offer related documents carefully.

For more details on risk factors, terms and conditions please read sales brochure carefully before concluding a sale. (Insurance)

Investments in securities are subject to market risks. Read the disclosure document carefully before investing. (PMS)

AIFs are offered only by private placement to eligible investors.

IF YOU HAVE A COMPLAINT

Contact us first at support@raminvestments.in or on the numbers above. If it is not resolved: for mutual funds and SIFs, also the fund house and AMFI; for securities products, SEBI SCORES (scores.sebi.gov.in) and the SMART ODR portal (smartodr.in); for insurance, IRDAI Bima Bharosa (bimabharosa.irdai.gov.in) and the Insurance Ombudsman; for GIFT IFSC products, IFSCA.